

# TRADE SECRETS

Concise Notes

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**IP71005 Other Forms of IP**

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## 1. Nature of a trade secret

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Ordinary intellectual property is a creation of the mind, intangible, registered, and given in exchange for **public disclosure**. A trade secret keeps the first two and reverses the rest: **no disclosure, no registration, no bargain with the State**.

**A patent survives publication. A trade secret is destroyed by it.** Once lost, lost forever.

It sits at the intersection of **labour law, intellectual property, unfair competition, equity, contract and criminal law**. That is why no single statute fits it.

**Definition.** Any confidential business information giving an enterprise a competitive edge. *Secret* means kept confidential. *Trade* means it produces profit.

### 1.1 Subject matter

Four categories: **financial, technical and scientific, commercial, and negative information**.

**Negative know how** is data from failed experiments. It is protectable because telling a rival which routes fail saves the rival the cost of discovering that. A trade secret need not teach anything positive.

Across the business cycle: **research** (results, positive and negative); **production** (formula, recipe, steps); **commercialisation** (sales and distribution methods, consumer profiles, advertising strategy, supplier and client lists).

Software: source code, algorithms, data flow charts, design documents, performance data, development agreements, **pending patent applications**. Business: plans, product names, financial projections, cost and pricing, sales data, customer lists, personnel performance.

**Compiled information** is a compilation where each element is public but the **selection and arrangement** is not.

### 1.2 Examples and what each shows

1. **Coca Cola.** Secrecy chosen over patent to avoid disclosure. Divested from India in 1977 rather than reveal the formula. In 2006 an employee tried to sell it to Pepsi, who reported it.
2. **KFC.** Recipe in a vault with two locks; two executives with access who may not travel together; two companies blend separate portions. Reasonable steps at their most extreme.
3. **Google.** PageRank is a **trademark**, the process is **patented**, the manipulation tools are **trade secrets**. One product, three rights.
4. **Listerine.** Royalties paid for over seventy years even after the formula became public. A licence can outlive the secret.
5. **WD 40.** Never patented, mixed in three cities, **already reverse engineered**, but kept secret for marketing.
6. **Krispy Kreme.** The recipe is secret, but the real advantage is the **process**, not the recipe.
7. **New York Times bestseller list.** Secret to prevent **manipulation**, not imitation.

## 2. The three ingredients

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The plaintiff must prove all three.

1. **Secret.** Not generally known among, or easily accessible to, persons in the circles that normally deal with that kind of information. Not merely unpublished or internal. It need not be known to only one person, so sharing under a supplier arrangement, joint development or due diligence does not destroy it.
2. **Commercial value because it is secret.** Actual or potential. The link must be causal. **If the information would be equally valuable after publication, it is not a trade secret.** Proved by benefits from use, development cost, or licensing offers.

3. **Reasonable steps.** Judged case by case against the size of the business and the value of the information. Security procedures, non disclosure agreements, and a management programme, so that the information could be obtained **only through improper means**.

The same three appear in **TRIPS Article 39(2)**, the **Uniform Trade Secrets Act**, and **Article 2(1) of Directive (EU) 2016/943**.

**On the definition the world has converged. It diverges on remedies, procedure and criminal liability.** Protection is lost if secrecy fails or the information is independently discovered. Trade secrets do not expire; they end only on discovery or loss.

### 3. Compared with other rights

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#### 3.1 Against a patent

1. **Term.** Unlimited until disclosed, against twenty years.
2. **Subject matter.** No restriction, against patentable subject matter only. Novelty, utility and non obviousness do not apply.
3. **Disclosure and filing.** None, against full disclosure and filing at the Patent Office.
4. **Cost.** No official fee, but the cost of maintaining secrecy, against filing and renewal fees.
5. **Independent development.** Not prevented, against prevented.
6. **Reverse engineering.** Destroys the secret, against no effect on a patent.
7. **Licensing.** Royalty can run forever, against ending with the term.
8. **Proof.** Circumstantial evidence suffices, against claim analysis or the doctrine of equivalents.
9. **Damages.** Actual loss plus unjust enrichment, with exemplary damages. Patent law compensates **only real loss**, with **no remedy for acts before grant**.

**Advice test.** How easily can it be reverse engineered from the product? **Easy, take a patent. Difficult, keep it secret.**

#### 3.2 Advantages and disadvantages

**Advantages.** Unlimited term; no registration cost; immediate effect; no formalities.

**Disadvantages.** Reverse engineering defeats it; **no right to exclude**; publication ends it; enforcement is weak and varies by country; and **someone else may patent the same information** and exclude you.

#### 3.3 Against copyright, trademark and design

**Copyright** protects expression, not information, and survives publication. Overlap is sharpest in software and databases; in India compilations including computer databases are literary works under **Section 2(o), Copyright Act, 1957**. **Trademark** needs public use, so it barely overlaps. **Design** protects visible appearance, which cannot be secret after launch.

#### 3.4 Patent or secrecy: seven questions

1. Is it **patentable** at all?
2. Can it **actually be kept secret**, or is it visible from the product?
3. Will it **become generally known soon**?
4. Would the patent **survive an attack** in litigation?
5. How fast will it **become obsolete**?
6. How long until it can be **commercialised**?
7. Is it **worth patenting** at all?

India: **Section 3(k), Patents Act, 1970** excludes mathematical and business methods, computer programmes as such, and algorithms, pushing much software into trade secrecy by default.

## 4. Protection in practice

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**Four layers.** *Legal*: confidentiality clauses, non disclosure agreements, assignment of rights, exit acknowledgements. *Administrative*: written policy, classification, need to know access, marking, secure destruction, recorded training. *Technical*: access control, role based permissions, encryption, data loss prevention, logging of access and copying. *Evidentiary*: access logs, version histories, device forensics.

Layers two and three are **how the third ingredient, reasonable steps, is satisfied**. Layer four is what wins the case.

**Why the law protects secrets.** To maintain commercial ethics and fair dealing; to give an **incentive to innovate**, especially for innovations not patentable or not worth patenting; and because otherwise competitors would use them without bearing the cost or risk.

**How secrets are lost.** Four causes: globalised market, digitisation, mobile workforce, fragmented value chain. Five actors: nation states, activists, competitors, organised crime, malicious insiders. Six losses: financial, brand damage, competitive disadvantage, regulatory non compliance, market share, operational impairment.

## 5. Proving a trade secret

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**No trade secret exists in law until a court says it does.** Existence is a question of fact, decided by a jury in the United States and by the judge in India.

### 5.1 Six factor test

**Restatement of Torts, 1939, Section 757, comment b.** Section 758 gives the elements of the claim; the Restatement (Third) of Unfair Competition, 1993, Sections 39 to 45, restates it.

1. extent known **outside** the business;
2. extent known by **employees inside**;
3. **measures taken** to guard secrecy;
4. **value** to the business and to competitors;
5. **time, effort and money** spent developing it;
6. **ease of proper acquisition or duplication** by others.

***Bombay Dyeing Manufacturing Co v Mehar Karan Singh*** applies **the same six parameters in India**, in the absence of a statutory definition. An Indian court with no statute reached the American common law test.

The scores combine into a **Defendability Factor**, used to decide which secrets are strong enough to plead.

### 5.2 EONA and ownership

Six proofs win a case. Use and damages are common to all intellectual property. Four are unique: **Existence** (what is it, stated precisely), **Ownership**, **Notice**, **Access**.

**The work for hire doctrine does not apply to trade secrets.** An **assignment** from everyone involved in creation is needed. Where an employee invents outside assigned duties, rights stay with the employee, but the employer may have a **shop right** if company time, personnel or equipment were used. A person who reverse engineers or independently develops the same secret **becomes an owner too**.

### 5.3 The burden, in four steps

1. **Establish secret character.** Internal or unpublished is not enough.
2. **Demonstrate reasonable steps**, documented.
3. **Distinguish skill from secret.**
4. **Prove actual or threatened misuse.** After *Varun Tyagi*, employment with a competitor is not enough.

Every Indian case fails at an identifiable rung. *Priya Puri* at one, *Navigators Logistics* and *Ritika* at one on pleading, *Varun Tyagi* at four.

## 6. International rules

**Paris Convention.** Trade secrets are not a listed category. Protection rests on **Article 10bis**, unfair competition, meaning competition contrary to honest practices. **Article 10ter** requires remedies. *Article 10 is false indications of source, not unfair competition.*

**TRIPS Article 39(1)** links the obligation to Article 10bis. **Article 39(2)** requires the **possibility** of preventing disclosure, acquisition or use contrary to honest commercial practices, which means at least breach of contract, breach of confidence and inducement to breach, and covers third parties who **knew or were grossly negligent in failing to know**. **Article 39(3)** protects undisclosed test data submitted for marketing approval of pharmaceutical or agricultural chemical products using **new chemical entities**, against unfair commercial use and disclosure.

**Article 42** requires fair procedures and protection of confidential information; **Article 44** injunctions, including against infringing imports after customs clearance; **Article 45** damages and expenses including attorney fees.

**Article 39(2) requires only the possibility of preventing misuse. It does not require a statute.** That single word is why India can claim compliance with no trade secret Act.

## 7. United States

Five layers: the **Restatements** at common law; the **Uniform Trade Secrets Act** at state level; and three federal statutes, the **Trade Secrets Act 1948**, the **Economic Espionage Act 1996** and the **Defend Trade Secrets Act 2016**. The law began as state court decisions from the mid nineteenth century, growing out of breach of confidence, unfair competition, unjust enrichment and employment law.

### 7.1 Uniform Trade Secrets Act, 1979, amended 1985

A model law with no force of its own; it binds only where a state enacts it. It supplies a definition, a definition of misappropriation, and remedies.

**Definition.** Information, including a formula, pattern, compilation, program, device, method, technique or process, that derives **independent economic value, actual or potential**, from not being generally known and not readily ascertainable by proper means, and is the subject of **efforts reasonable in the circumstances** to maintain secrecy.

**Misappropriation.** (i) Acquisition by a person who knows or has reason to know it was acquired by **improper means**; (ii) disclosure or use without consent by a person who used improper means, or knew or had reason to know the knowledge came from such a person or from one under a **duty of secrecy**, or who before a **material change of position** knew it was a trade secret acquired **by accident or mistake**.

**Remedies.** Injunction for actual or threatened misappropriation; lost profits; unjust enrichment; reasonable royalty; **exemplary damages capped at twice the compensatory award**; attorney fees.

**Adoption.** One slide says all the states; another says **48 states plus the District of Columbia, Puerto Rico and the United States Virgin Islands as of November 2020**; verification gives **49 states**, with **New York the holdout**. Quote the figure with its date. **Massachusetts and New York** additionally require **continuous use**, reject liberal cost shifting, and are hesitant on inevitable disclosure.

## 7.2 Trade Secrets Act, 1948

**18 U.S.C. 1905.** Forbids **federal employees and government contractors** from unauthorised disclosure of confidential government information. Removal from office plus fine or imprisonment up to **one year**. Does not apply to state actors or private employees.

## 7.3 Economic Espionage Act, 1996

Criminal, at **18 U.S.C. 1831 to 1839**. Two offences, distinguished only by who benefits:

1. **Section 1831, economic espionage.** Intent or knowledge that the offence will benefit a **foreign government, instrumentality or agent**. Individual: 5 million dollars and 15 years. Organisation: the greater of 10 million dollars or **three times the value** of the secret, including avoided research and reproduction costs.
2. **Section 1832, theft of trade secrets.** Intent to confer an **economic benefit on another party**, the secret relating to a product or service used in or intended for interstate or foreign commerce. Individual: 250,000 dollars and 10 years. Organisation: 5 million dollars.

The information must qualify as a trade secret under the wide **Section 1839(3)** definition. Under **Section 1831** the benefit may be reputational, strategic or tactical, not only economic; a foreign corporation **without state sponsorship cannot be charged** under it. Under **Section 1832** the benefit must be economic. Intent to injure needs no malice, only awareness **to a practical certainty** of disadvantage to the owner.

**Section 1833** preserves lawful government activity and reporting suspected violations. **Section 1837** gives extraterritorial reach where the offender is a United States person or an act in furtherance occurred in the United States. The Act **does not preempt** the Computer Fraud and Abuse Act, the National Stolen Property Act or wire fraud.

**The gap.** No private civil right of action. Four bills failed: the Protecting American Trade Secrets and Innovation Act 2012, the Private Right of Action Against Theft of Trade Secrets Act 2013, the Trade Secrets Protection Act 2014, and the Future of American Innovation and Research Act 2013.

**Two 2012 amendments passed.** The **Theft of Trade Secrets Clarification Act**, 28 December 2012, responded to **Aleynikov** by substituting **a product or service used in or intended for use in** commerce. The **Foreign and Economic Espionage Penalty Enhancement Act**, signed 14 January 2013, raised the Section 1831 fines.

## 7.4 Defend Trade Secrets Act, 2016

Effective **11 May 2016**. Created the **federal civil cause of action** (Section 1836(b)) for an owner or licensee of a secret related to a product or service used in interstate or foreign commerce, with **original** federal jurisdiction (Section 1836(c)) and an **ex parte seizure** remedy (Section 1836(b)(2)).

**Improper means** expressly **excludes reverse engineering, independent derivation and any other lawful means**.

**Civil seizure, eight conditions.** Other injunctive relief would be ineffective; immediate and irreparable injury; balance of equities favours the applicant and **substantially outweighs** third party harm; likelihood of success on both secrecy and misappropriation; **actual possession** by the defendant; description with **reasonable particularity**; the defendant would destroy or hide the matter if given notice; and the applicant **has not publicised** the request. Hearing within **seven days**; security required; wrongful seizure gives a **cause of action for damages**.

**Remedies.** Injunction; affirmative protective steps; in **exceptional circumstances** a **royalty injunction** in place of a prohibition. Damages for actual loss, unjust enrichment not double counted, or in the alternative a

reasonable royalty. **Exemplary damages up to twice** the compensatory award for wilful and malicious misappropriation, and attorney fees for bad faith or wilful conduct.

**Limitation: three years** from discovery or when discovery should reasonably have occurred. A **continuing misappropriation is a single claim**, so the clock runs once.

**Protecting the secret.** No court may order disclosure without first allowing a **submission under seal**; sealed information may not be used for any other purpose; disclosure in the action **does not waive** protection.

**Whistleblower immunity** for three disclosures: in confidence to a government official or attorney solely to report or investigate a suspected violation; in a **sealed filing**; and by a person bringing a **retaliation suit**, under seal.

**Notice requirement.** Employers must state the immunity in agreements with employees, contractors and consultants entered into **after 11 May 2016**, or cross refer to a policy document. **Failure does not bar the claim. It bars only exemplary damages and attorney fees** against that employee.

**RICO.** Sections 1831 and 1832 are **predicate acts** under Section 1961(1), which allows civil RICO claims. RICO's power lies in its **conspiracy provision**, tying unrelated crimes with a common objective into a **pattern of racketeering**, with severer penalties and a **private damages action**.

**Extraterritorial damages.** Recoverable for foreign misappropriation where an act in furtherance, such as marketing knock off products at a trade show, occurred in the United States: **Motorola Solutions v Hytera Communications**, 436 F. Supp. 3d 1150. The **Protect American Trade Secrets Act 2021 (H.R. 4327)** would have codified this.

## 7.5 Section 337, Tariff Act 1930

**19 U.S.C. 1337.** The International Trade Commission may **bar imports** of products made using misappropriated trade secrets that harm United States industry, **even where the misappropriation occurred abroad**. The **SECRETS Act 2021 (S. 2067)** would have added a procedure for secrets taken by a **foreign agent or instrumentality** on national security grounds.

## 7.6 The central practical point

Litigants once used **discovery** to work out what their trade secrets were. That is no longer acceptable. The starting and ending point of the whole subject is the **IT analysis: what is it that is alleged to be the trade secret?**

# 8. Inevitable disclosure

**The doctrine.** An employee may be enjoined by showing that the new job duties will **inevitably** cause reliance on the former employer's secrets, even without conscious intention. It is a way of proving **threatened** misappropriation, not a separate cause of action. Traced to **Eastman Kodak v Powers Film Products** (1919), originally for technical employees, later extended to financial, manufacturing, production and marketing information.

**Temporary injunction requires** likelihood of success, potential irreparable injury (courts differ on whether it is presumed), a balance of equities, and the **public interest**, since enjoining a skilled person from working carries economic and social costs.

**Is it the same as threatened misappropriation? Barilla v Wright:** inevitable disclosure targets disclosure **despite** the employee's intentions; threatened misappropriation targets disclosure **based on** them. **Del Monte v Dole:** a separate theory; inevitable disclosure needs **a real and present danger**, threatened misappropriation needs **proof beyond inevitability**. **Whyte v Schlage Lock** and **Central Valley General Hospital v Smith:** it is **not a substitute** for proving actual or threatened misappropriation, and rejecting it does not reject threatened misappropriation.

**Eight factors.** Existence of a restrictive covenant; degree of competition; bad faith by employee or new employer; type and extent of the employee's knowledge; policy considerations; the new employer's safeguards; similarity of the two positions; and whether the secrets are highly valuable to both. A restrictive covenant merely **adds a breach of contract claim**; it is either a **confidentiality agreement** or a **non compete**.

**Where it stands.** Accepted in Illinois after *PepsiCo v Redmond*. Rejected in **California**; treated with hesitation in Massachusetts and New York. **Declined federally:** under **18 U.S.C. 1836(b)(3)(A)** an injunction may not prevent a person entering employment, and conditions must rest on **evidence of threatened misappropriation, not merely on what the person knows**. Rejected in **India**, which requires actual or specifically threatened misuse.

Two later cases. *Molon Motor v Nidec Motor* adopted the doctrine and held continued use after the 2016 effective date plausible, since a motor design and its quality control data retain value. *Brand Energy v Irex* held the Act applies to **continuing misappropriation after the effective date**.

## 9. European Union

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**Why the Directive was needed.** Protection was uneven: some States had no definition; remedies were inconsistent and often unavailable against **non competitor third parties**; States differed on the **good faith acquirer** who later learns the truth, on **destruction of goods**, and on **calculating damages** for an intangible with no market value.

**Directive (EU) 2016/943**, adopted **8 June 2016**, compliance by **9 June 2018**. It harmonises the definition and the forms of misappropriation, guarantees **reverse engineering and parallel innovation**, and harmonises **civil** remedies only: stopping use and disclosure, **removal of goods from the market**, and compensation. **It creates no criminal sanctions**.

**Article 2(1).** Secret, meaning not, **as a body or in the precise configuration and assembly of its components**, generally known or readily accessible in the relevant circles; commercial value because secret; reasonable steps by **the person lawfully in control**. **Article 2(4)** defines **infringing goods** as goods whose design, characteristics, functioning, production or marketing **significantly benefits** from an unlawfully used secret.

**Article 3, lawful acquisition.** Independent discovery or creation; **observation, study, disassembly or testing** of a product lawfully available, being the reverse engineering safe harbour; exercise of **workers' information and consultation rights**, which has no United States equivalent; and any practice conforming to honest commercial practices.

**Article 4, unlawful acts.** (2) Acquisition by unauthorised access, appropriation or copying of material from which the secret can be deduced, or conduct contrary to honest commercial practices. (3) Use or disclosure by one who acquired it unlawfully or breached a duty not to disclose or to limit use. (4) **Third parties who knew or ought to have known** the secret came from someone acting unlawfully. (5) **Production, offering, placing on the market, import, export or storage of infringing goods**.

**Article 4(5) is the biggest divergence from United States law.** It creates something close to a **product based right** reaching downstream traders and importers. The Defend Trade Secrets Act has no equivalent.

**Article 5, exceptions.** Freedom of expression including media pluralism; revealing misconduct or illegality in the general public interest; disclosure by workers to their representatives; and protection of **a legitimate interest recognised by law**, criticised as too broad. The burden is on the **plaintiff** to show by **clear and convincing evidence** that a disclosure was dishonest or without public interest. On free expression the test is not whether the information interests the public but **whether it is in the public interest that the duty of confidence be breached**: *HRH Prince of Wales v Associated Newspapers*, [2006] EWCA Civ 1776.

**Four changes introduced.** Action against **third parties who ought to have known**, which reaches the market in stolen secrets including those taken by cyber attack; protection against **infringing goods**, important for goods imported from weaker jurisdictions; **litigation protection** through confidentiality clubs, private hearings and redacted judgments; and **interim measures** including preliminary injunctions and seizure in all Member States.

**United States and European Union compared.** Same definition by different drafting, the European version more explicit on **compilations** and using **person lawfully in control**. The American definition alone has the **accident or mistake** limb; the European alone has **infringing goods**. On litigation, the Directive requires that **at least one representative of every party have full access** to all evidence, while the American courts may confine access to **attorneys of record and approved experts**. Whistleblower protection is **wider in Europe**. Criminal liability exists **only in the United States**.

## 10. India

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**No trade secret statute.** Protection comes from **contract, copyright, equity, the common law action for breach of confidence**, and parts of the Information Technology Act, 2000. Three weaknesses: it is **weak without a contract**; **damages are hard to obtain**; and there are **no procedural safeguards** against disclosure of the secret during litigation.

**Is India TRIPS compliant?** Yes on the orthodox view, because Article 39 requires only the **possibility** of preventing misuse. The **1989 GATT discussion paper on India** supports this, holding that trade secrets **are not intellectual property** because intellectual property rests on disclosure and registration while secrets rest on confidentiality, and that they should be governed by **contract and civil law**. Against this, the Law Commission accepted that the route is too uncertain to be **effective** protection. **State both sides.**

### 10.1 Section 27, Indian Contract Act, 1872

**Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind is, to that extent, void.**

**One exception only: sale of goodwill** (Exception 1), within specified local limits that the court finds reasonable. *The partnership exceptions are in the Indian Partnership Act, 1932, Sections 11(2), 36(2), 54 and 55(3), not in Section 27.*

Voidness is the **default position, not a presumption**, and applies **regardless of duration, geography or consideration**. The competing interest is the employee's **livelihood under Article 21** and **occupation under Article 19(1)(g)**.

**The rule that decides almost every Indian case.** A covenant operating **during** the contract is **valid**. A covenant operating **after** termination is **void**. A **confidentiality** obligation is valid after termination and lasts **until the information becomes public**. So in India, **draft the confidentiality clause, not the non compete**.

### 10.2 Equity and breach of confidence

A duty of confidence can arise **without any contract**. It confers **no property right but binds the conscience** of the recipient. Three elements: **confidential information; disclosed in circumstances of confidence; actual or threatened disclosure**. A **fourth** applies to government information, that disclosure would be **against the public interest**.

Equity adds what contract cannot: it prevents **unjust enrichment** through an account of profits and a constructive trust, and it **reaches non parties**.

**Defences.** Public knowledge, including that **reverse engineering does not breach an equitable obligation**; a former employee's legitimate use of his own skill; and **public interest**, weighed against the interest in confidence.

### 10.3 Springboard doctrine

A person who obtains information in confidence may not use it as a **springboard** for activities detrimental to the confider, **and it remains a springboard even after the features are published or can be found by public inspection.**

The obligation **survives publication**, which ordinarily destroys a secret. It is therefore a doctrine about **unfair advantage**, not secrecy. Source: *Terrapin v Builders' Supply*, [1960] RPC 128. Applied in India since *Brady* (1987) and restated in *Fairfest Media* (2015).

### 10.4 Skill against secret

**General skill, know how and professional competence belong to the employee**, whatever the agreement says. **Specific formulae, client databases, pricing algorithms and blueprints belong to the employer.** Labelling general familiarity as a trade secret to block mobility is **an impermissible restraint of trade**. English authority: *Faccenda Chicken v Fowler*, three categories of employee knowledge, of which only **trade secrets** cannot be used after employment.

### 10.5 What counts as a trade secret in India

**Routine day to day affairs known to many are not trade secrets.** A trade secret can be a **formula, technical know how, or a peculiar mode or method of business unknown to others**, and also joint venture and loan agreements, client lists, cost and pricing information, projected capital investments and inventory marketing strategies. Test: **information duly protected by its owner and potentially damaging if disclosed.**

In *Tata Motors v State of West Bengal* the Black's Dictionary definition was adopted, but the Nano agreement **involved public money and had to be disclosed** under the Right to Information Act. **Trade secrecy yields to public interest where public funds are involved.**

### 10.6 Client lists and solicitation

A **systematically compiled client database** built at company expense can be a trade secret. A relationship resting on **personal rapport and independent reputation** cannot be taken from the employee.

The question is never whether the information concerns clients. **It is whether the employer built the information or merely knows the people.**

A **non solicitation clause is not hit by Section 27 (Embee Software)**, and an ex employee may not solicit so as to damage the ex employer even without such a clause. Soliciting customers using confidential information attracts an injunction against **orchestrating a breach of the employer's existing contracts (Hi Tech Systems).**

### 10.7 Copyright interface

Databases are literary works under **Section 2(o)**. Copyright protects the **expression**; trade secret law protects the **underlying data**, which is theoretically stronger. In practice they converge.

**Practical point.** With no trade secret statute, the **copyright route is often easier**: a statutory cause of action, statutory remedies, and **no need to prove reasonable steps**. Plead copyright, breach of confidence and breach of contract in the alternative.

Limit: under **Section 15(2)**, once a design is used for more than **fifty garments or articles**, no copyright subsists in it (*Ritika v Biba*).

### 10.8 Pleading and proof

The claimant must **identify the specific trade secret and how he owns it**. A general order against an unspecified secret cannot be passed. **Pleadings of the nature and quality of the confidential information**

are **crucial**, and reasonable efforts to keep it confidential must be **proved**. A database that merely documents freely available material has no confidentiality; it must have **exclusivity**.

**Constitutional limit.** A court accepting, without any statutory regime, a blanket claim of confidentiality over what is plainly public material **would overstep the Constitution**, namely Article 19(1)(g) and Article 21.

## 10.9 Criminal law and the Information Technology Act

There is **no offence of trade secret misappropriation** in India. Prosecutions use theft, criminal breach of trust and cheating under the **Bharatiya Nyaya Sanhita, 2023**. The obstacle is conceptual: **theft requires dishonest taking of movable property**, and information copied but left in place is neither clearly taken nor clearly movable property. This is the Indian form of the problem in **Aleynikov**.

**Section 72** binds only those who obtained access **under statutory powers**, principally officials, and covers **electronic records** only. **Section 43A** covers negligent handling of **sensitive personal data**; **Section 72A** disclosure of **personal information** under a service contract. **Section 66 with Section 43** covers unauthorised access, downloading and copying, and is the provision that actually helps.

The Information Technology Act is a **data security and privacy statute, not a trade secret statute**. It does not define or protect a trade secret as such.

## 10.10 Remedies and Anton Piller orders

Injunction including ex parte ad interim; damages or account of profits; delivery up or destruction; declaration; **local commissioner** for search and seizure; **John Doe orders** where the defendant is unidentified.

**Anton Piller order**, an **ex parte search order** allowing entry and seizure **before the defendant is notified**. Three conditions (**Anton Piller KG v Manufacturing Processes**, [1976] Ch 55): an **extremely strong prima facie case**; **very serious actual or potential damage**; and **clear evidence of possession plus a real possibility of destruction**. It operates **in personam**, compelling permission to enter rather than authorising forced entry. Safeguards added in **Columbia Picture v Robinson** and **Universal Thermosensors v Hibben**: office hours, a supervising solicitor, a list of items before removal.

**The danger.** The defendant has **no notice and no hearing**, so a competitor can disrupt operations, reach privileged communications and cause reputational harm before any issue is argued.

**Best comparative point.** Three judge made Anton Piller conditions in India, against **eight codified** conditions plus a seven day hearing, security and a wrongful seizure remedy under the Defend Trade Secrets Act. India has discretion; the United States has a checklist.

## 10.11 Three judicial discrepancies

1. **Specificity.** **Navigators Logistics** demands precision, yet other benches enjoin on broadly described confidential information.
2. **Anton Piller threshold.** Some courts act on thin affidavits, others demand detailed proof of urgency and futility of notice. No codified standard.
3. **Duration of equity.** Some courts treat the obligation as perpetual while the information stays secret; others impose a reasonable temporal limit.

## 10.12 Law Commission Report 289 and the 2024 Bill

Referred **10 October 2017**. The 22nd Law Commission, chaired by **Justice Ritu Raj Awasthi**, submitted **Report No 289** on **5 March 2024**, recommending a **sui generis** statute and annexing the draft **Protection of Trade Secrets Bill, 2024**, of **thirteen clauses in four chapters**. **Not introduced in Parliament as of early 2026**.

**Key clauses.** Definition following TRIPS Article 39. **Section 2(f)**: an employee's skills and experience are **not** a trade secret. A **statutory cause of action**. A first statutory definition of **misappropriation**, extending to

**third parties who knew or had reason to know. Reverse engineering and independent discovery protected. Section 5** whistleblower and public interest defence. **Section 6 compulsory licensing** in a national emergency, disclosure being to a licensee under confidentiality, not to the public. **Section 7** injunction, damages or account, destruction. **Section 8** Commercial Courts. **Section 9** confidentiality of proceedings. **Section 10** remedy for **groundless threats**. **No registry**, rejected for risk of leakage. **Civil remedies only**.

**Four gaps.** Section 27 untouched, so post termination voidness remains. **No criminal sanction.** No Anton Piller framework. The **specificity standard** is unresolved.

**Policy.** The **National IP Rights Policy** of 12 May 2016 identified trade secrets as an area for study. At the **Trade Policy Forum**, 20 October 2016, India confirmed its **common law approach** and agreed to a toolkit for small and medium enterprises, a possible judicial academy training module, and a further study.

## 11. Cases

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Facts, decision and principle, one entry each.

### A. Confidential information

**Saltman Engineering v Campbell Engineering**, (1948) 65 RPC 203. Drawings of tools for leather punches given for manufacture were used by the defendant for itself. **Held** breach of confidence. **Principle:** confidence rests on **equity, not implied contract**. Information is confidential where the maker **used his brain to produce a result reachable only by going through the same process**, even from public materials. *One slide dates it [1963]; it is 1948.*

**Coco v A N Clark (Engineers)**, [1969] RPC 41, decided 1968, **Megarry J.** Moped engine drawings shared for a joint venture that collapsed. **Held** injunction refused for want of a strong prima facie case. **Principle:** **three requirements**, the information must have the **necessary quality of confidence**, be **imparted in circumstances importing an obligation of confidence**, and be **used without authority to the detriment** of the confider. *One slide names the judge Garry J.*

**Terrapin v Builders' Supply Co (Hayes)**, [1960] RPC 128. **Principle:** source of the **springboard doctrine**.

**Faccenda Chicken v Fowler**, [1987] Ch 117. A sales manager left with knowledge of customer lists and pricing policy. **Held** no breach; no bad faith. **Principle:** **three categories** of employee knowledge, public or trivial, confidential (usable after employment if not memorised or surreptitiously removed), and **trade secrets**, which may never be used after employment.

**Attorney General v Guardian Newspapers**. A former MI5 agent published from Tasmania, beyond reach. **Principle:** a duty of confidence arises where the recipient **has notice that the information is confidential**, and it **binds third parties**.

### B. Restraint of trade

**Mitchel v Reynolds**, (1711) 1 P Wms 181. A bakehouse lease in **Liquorpond Street, St Andrew Holborn, London**, with a bond not to bake in the parish. **Held** bond enforced. **Principle:** a **general restraint** is void; a **particular restraint**, limited in time and place with consideration, may be valid. Restraints are presumed bad but the presumption is **rebuttable**. *One slide says Liverpool.*

**Niranjan Shankar Golikari v Century Spinning**, AIR 1967 SC 1098. Shift supervisor on a five year contract with secrecy and exclusivity terms left for a competitor after nine months of training. **Held** injunction upheld. **Principle:** a negative covenant **during the term** is not restraint of trade, unless unconscionable, excessively harsh, unreasonable or one sided.

**Gujarat Bottling v Coca Cola**, (1995) 5 SCC 545. Bottling agreement barring competing products during the term. **Held** valid. **Principle:** Section 27 addresses restraints operating **after** an agreement ends. The commercial counterpart of **Golikari**.

**Superintendence Company of India v Krishan Murgai**, AIR 1980 SC 1717; (1981) 2 SCC 246. A branch manager, **terminated** by the company, set up a competing business despite a two year covenant. **Held** injunction refused, **the Court divided**. **Principle:** the majority construed clause 10 as applying **only if the employee left voluntarily**, so Section 27 was not decided. **Sen J held separately** that post service covenants are **void regardless of reasonableness**. The Court also noted the **inequity of bargaining power** and that a restraint must not be greater than necessary or unduly harsh. *Not a reasonableness test, and not a constitutional precedent.*

**Percept D'Mark v Zaheer Khan**, (2006) 4 SCC 227. Clause 31(b) gave a **right of first refusal after the agreement ended**. **Held** relief refused. **Principle:** a covenant extending **beyond the term** is void under Section 27; relief was **also refused in discretion**, money being adequate and an injunction amounting to specific performance of a personal service contract. Extends the rule **beyond employment**.

**Varun Tyagi v Daffodil Software**, 2025:DHC:5015. A three year bar on engaging with any Business Associate; he joined Digital India Corporation after his notice period. **Held** injunction quashed. **Principle:** post termination restraint is **void under Section 27**, and once within it **reasonableness is irrelevant**. Intellectual property in

the project belonged to the client, so the confidentiality fear was misconceived. **Specific misuse must be proved.** *No constitutional holding, despite the slide.*

**V F S Global v Suprit Roy**, 2008 (2) Bom CR 446. **Principle:** a **garden leave** clause operating after termination does not renew the contract and is in restraint of trade.

**Desiccant Rotors v Bappaditya Sarkar**, 2009 SCC OnLine Del 1926. **Principle:** the **right of livelihood prevails** over the employer's wish to avoid competition, but **non solicitation and confidentiality may be enforced**.

**Indus Power Tech v Echjay Industries**, 2024 SCC OnLine Bom 3349. **Principle:** valid during the term, void after termination. Relied on in **Varun Tyagi**.

**Lalbhai Dalpatbhai and Co v Chittaranjan Chandulal Pandya**, AIR 1966 Guj 189. **Principle:** a **during term** negative stipulation may be enforced if reasonable and not injurious to the public. *Often miscited as 1996.*

### C. Indian equity and confidence

**John Richard Brady v Chemical Process Equipments**, AIR 1987 Delhi 372. Know how and drawings for a **fodder production unit** were shared while seeking **thermal panels**; the defendant could not supply them and built its own similar unit. **Held** injunction granted on confidence and on copyright in the drawings. **Principle:** **confidentiality is implied even without an express clause**, and the **springboard doctrine applies without any agreement**, because **the law of trade secrets is not subject to contracts**.

**Homag India v Ulfath Ali Khan and IMA AG**, MANU/KA/1569/2012. An employee emailed customer information to a competitor before resigning; the trial court refused relief against the competitor for **want of privity**. **Held** reversed on that point. **Principle:** **equity reaches a third party despite the absence of privity**.

**Fairfest Media v Lte Group** (2015), Calcutta High Court. **Principle:** restates the springboard principle as the essence of this branch of law in India.

**Sandhya Organic Chemicals v United Phosphorous**, AIR 1997 Guj 177. **Principle:** an employee's own skill and knowledge will not be restrained merely because he agreed to a restraint.

### D. What is a trade secret in India

**Ambience India v Naveen Jain** (2005), Delhi High Court. **Principle:** a trade secret is information acquired in employment that should not reach others in the employer's interest, but **routine day to day affairs known to many are not trade secrets**.

**American Express Bank v Priya Puri**, (2006) III LLJ 540 (Del). The head of wealth management joined a competitor; the bank claimed its **client list**. **Held** not a trade secret; injunction refused. **Principle:** publicly available client data is **not secret**; much of it is the employee's **own skill**; an employer **cannot monopolise customers** through confidentiality; post termination restrictions are void. **India's answer to inevitable disclosure**.

**Bombay Dyeing v Mehar Karan Singh**, Bombay High Court. **Principle:** in the absence of a statutory definition, apply **six parameters** identical in substance to the American six factor test.

**Tata Motors v State of West Bengal**. Disclosure of the **Nano** agreement was sought under the Right to Information Act. **Held** it must be disclosed. **Principle:** the agreement involved **public money**, so the greater public interest prevailed over the claim of commercial sensitivity.

**Hi Tech Systems v Suprabhat Ray** (2015). **Principle:** soliciting the employer's customers using confidential information attracts an injunction against **orchestrating a breach of existing contracts**. *Name appears as Ray and as Roy on different slides.*

**Embee Software v Samir Kumar Shaw**, Calcutta High Court. **Principle:** a **non solicitation clause is not restraint of trade** and is **not hit by Section 27**; solicitation damaging the ex employer is barred even without such a clause.

**Diljeet Titus v Alfred A Adebare** (2006), Delhi High Court. **Principle:** cited with **Fairfest**, **Hi Tech** and **Burlington** for the test that information **duly protected and potentially damaging if disclosed** is covered.

## E. Copyright interface and pleading

**Burlington Home Shopping v Rajnish Chibber**, 61 (1995) DLT 6. A mail order company sued an employee over its customer database. **Held** interim injunction granted. **Principle**: a **compilation of addresses built with time, money, labour and skill is a literary work**, even if the sources are commonly available.

**Ritika Pvt Ltd v Biba Apparels**, Delhi High Court, DE 0784 2016. **Principle**: the **specific trade secret and the plaintiff's ownership must be pleaded**; no general order against an unspecified secret. **Section 15(2)** bars copyright once a design is used for more than **fifty garments**.

**Genetics India v Shailendra Shiv**, 2011 (47) PTC 494. **Principle**: **pleadings of the nature and quality of the confidential information are crucial**; reasonable efforts must be **proved**; a database of freely available material lacks **exclusivity** and so lacks confidentiality.

**Navigators Logistics v Kashif Qureshi**, 2018 SCC OnLine Del 11321. Eight employees allegedly diverted business; claims in copyright, confidence and non compete. **Held** plaint rejected. **Principle**: vague pleadings cannot support an injunction, because **such an injunction would be unenforceable**; publicly available customer lists are not trade secrets; copyright failed for want of a disclosed author and pleaded skill and judgment after **Eastern Book Company v D B Modak**; the non compete was void. *A Division Bench gave partial relief on 20 November 2024.*

## F. Confidence protecting ideas

**Zee Telefilms v Sundial Communications**, 2003 (5) Bom CR 404. A television serial concept about Lord Krishna as a child was disclosed in confidence; negotiations lapsed and a similar serial followed. **Held** relief for breach of confidence. **Principle**: **confidence is broader than and distinct from copyright**; there is no copyright in an idea, but information imparted in confidence is protectable. *The sentence quoted on one slide could not be verified in the judgment.*

**Anil Gupta v Kunal Dasgupta**, 97 (2002) DLT 257. The **Swayamvar** concept note was shared with the defendants, who planned a similar show. **Held** injunction granted. **Principle**: the concept was built on public domain material, but **the plaintiff used his brain to produce a unique result**, which made it confidential.

## G. Search orders

**Anton Piller KG v Manufacturing Processes**, [1976] Ch 55. **Principle**: the three conditions for an ex parte search order, and that it operates **in personam**.

**Columbia Picture Industries v Robinson**, [1987] Ch 38, and **Universal Thermosensors v Hibben**, [1992] 1 WLR 840. **Principle**: safeguards and guidelines for execution.

**M Sivasamy v Vestergaard Frandsen**, 2009 SCC OnLine Del 2310. **Principle**: discovery, production of documents and **sealed cover confidentiality**. *Not an authority on Anton Piller safeguards, despite the slide.*

**Vestergaard Frandsen v Bestnet Europe**, [2013] UKSC 31. **Principle**: a person who **neither acquired nor knew of the misuse** is not liable, the action resting on conscience.

## H. United States

**PepsiCo v Redmond**, 54 F.3d 1262 (7th Cir 1995). A senior PepsiCo manager with the All Sport strategic plan joined Quaker, owner of Gatorade and Snapple. **Held** preliminary injunction affirmed. **Principle**: **inevitable disclosure**, but a similar position alone does not make disclosure inevitable; **particularised plans and processes** are protectable, general skills are not.

**United States v Lange**, 312 F.3d 263 (7th Cir 2002). A former employee of an aircraft parts maker offered its processes for sale and was caught in a sting. **Held** convicted, thirty months. **Principle**: the Economic Espionage Act works in **ordinary commercial theft**.

**United States v Aleynikov**, 676 F.3d 71 (2d Cir 2012). A Goldman Sachs programmer copied high frequency trading source code. **Held** conviction **reversed**. **Principle**: the code was **not a stolen good** and the internally used system was **not a product placed in interstate commerce**. Prompted the **Clarification Act of 2012**.

**Epic Systems v Tata Consultancy Services**, 980 F.3d 1117 (7th Cir 2020). Portal access given for testing was used to download confidential documentation for a rival product. **Held** liability, with very large awards later reduced. **Principle: access granted for one purpose does not authorise use for another.**

**TianRui Group v International Trade Commission**, 661 F.3d 1322 (Fed Cir 2011). A Chinese maker obtained a railway wheel process abroad and exported the wheels into the United States. **Held** imports barred. **Principle:** the unfair act is the **importation**, so Section 337 reaches misappropriation occurring abroad.

**Eastman Kodak v Powers Film Products** (1919). **Principle:** origin of the inevitable disclosure doctrine.

**Barilla America v Wright; Del Monte Fresh Produce v Dole Food; Whyte v Schlage Lock; Central Valley General Hospital v Smith**. **Principle:** inevitable disclosure is **distinct from threatened misappropriation**, differs in the **level of proof**, and is **not a substitute** for proving actual or threatened misappropriation.

**Molon Motor and Coil v Nidec Motor**, No. 1:2016cv03545 (N.D. Ill. 2017); **Santander Securities v Gamche**, 2017 WL 1208066; **Brand Energy v Irex**. **Principle:** the 2016 Act applies to **continuing misappropriation after its effective date**.

**Motorola Solutions v Hytera Communications**, 436 F. Supp. 3d 1150. **Principle:** damages for **foreign misappropriation** where an act in furtherance occurred in the United States.

## 12. Traps

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1. **Paris Convention**. Unfair competition is **Article 10bis**, not Article 10.
2. **UTSA adoption**. Not all states. **48 as of November 2020** on one slide, **49** on verification, **New York the holdout**. Quote the figure with its date.
3. **Section 27 exception** is the **sale of goodwill**, not a partnership exception.
4. **Krishan Murgai**. The majority **construed the clause**; only **Sen J** applied Section 27. **Not** a reasonableness test, **not** constitutional law, and the Court was **divided**.
5. **Percept**. Not simply categorically void. Interim relief, decided substantially on **discretion** as well as Section 27.
6. **Varun Tyagi**. Reasoned on **Section 27 alone**. No constitutional holding.
7. **Zee Telefilms**. The quoted sentence on the slide is **unverified**. Paraphrase it.
8. **Coco**. Judge was **Megarry J**, report **[1969] RPC 41**, decided 1968.
9. **Saltman**. (1948) **65 RPC 203**, not [1963].
10. **Mitchel v Reynolds**. London, not Liverpool.
11. **Lalbhai Dalpatbhai**. AIR 1966 Guj 189, not 1996.
12. **Sivasamy v Vestergaard**. **Discovery and sealed cover**, not Anton Piller safeguards.
13. **Existence as a question of fact** is decided by a **jury** in the United States, by the **judge** in India.
14. **No worldwide trade secret right**. Its factual existence travels, but enforcement follows the law of the forum.
15. **Do not cite** the Polish trade secret registry. Unverifiable.

## 13. Numbers and dates

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1. **Restatement of Torts 1939**, Section 757 comment b (six factors), Section 758 (elements). Restatement (Third) **1993**, Sections 39 to 45.
2. **UTSA 1979**, amended **1985**. Exemplary damages capped at **twice** compensatory.
3. **Trade Secrets Act 1948**, 18 U.S.C. 1905, up to **one year**.
4. **Economic Espionage Act 1996**, 18 U.S.C. 1831 to 1839. **1831**: 5 million dollars, 15 years; organisations, the greater of 10 million dollars or **three times the value**. **1832**: 250,000 dollars, 10 years; organisations 5 million dollars.

5. **Defend Trade Secrets Act 2016**, effective **11 May 2016**. **Eight** seizure conditions, hearing within **seven days**, limitation **three years**.
6. **Directive (EU) 2016/943**, adopted **8 June 2016**, compliance **9 June 2018**.
7. **TRIPS** Articles 39, 42, 44, 45. **Paris** Articles 10bis, 10ter.
8. **India**. Section 27 Contract Act; Sections 2(o) and 15(2) Copyright Act; Sections 43, 43A, 66, 72, 72A Information Technology Act; Articles 19(1)(g) and 21.
9. **Law Commission Report 289**, March 2024, **thirteen clauses in four chapters**, not enacted. National IP Policy **12 May 2016**. Trade Policy Forum **20 October 2016**.

## 14. Geographical indications, opening concepts

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A geographical indication links a **product**, a **place**, and a **causal link** between them, whether through **natural factors** such as soil and climate or **human factors** such as an inherited craft.

**Three nested concepts.** An **indication of source** requires origin only, with no quality link, and is the widest. A **geographical indication** requires origin **plus** a quality, reputation or characteristic **essentially attributable** to that origin, and is the TRIPS Article 22(1) and Indian concept. An **appellation of origin** requires quality due **exclusively or essentially** to the geographical environment, with production, processing and preparation **all in the area**, and is the narrowest, from the Lisbon Agreement.

**Against a trademark.** One proprietor against a **class of producers**; commercial source against **geographical origin**; freely assignable against **not assignable, transmissible, licensable, pledgeable or mortgageable** (Section 24); proprietor and licensees against **any producer in the region** who meets the specification and is an **authorised user**. Both last ten years and are renewable.

**A geographical indication cannot be sold because it is a collective right tied to a place.** That one idea explains almost every difference from other intellectual property.

**Geographical Indications of Goods (Registration and Protection) Act, 1999**, Act 48 of 1999, assent **30 December 1999**, in force **15 September 2003** with the 2002 Rules. Registrar is the **Controller General of Patents, Designs and Trade Marks**; Registry head office at **Chennai**; **Darjeeling tea** was the first Indian geographical indication, application number one.

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End of notes